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Imperial Brands: cash first, next-generation products second

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Market data as of 12 November 2026.

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Imperial Brands has started its second five-year plan (FY2026 to FY2030) as a self-described challenger: it protects value rather than volume in cigarettes and is building scale in next-generation products. Full-year FY2026 results are due on 17 November 2026.

Tobacco: a shrinking market that still generates cash

Pricing still outruns volume

Cigarette volumes keep falling in developed markets, but price increases have so far more than offset the decline for the large players. Imperial Brands expects FY2026 to be its sixth consecutive year of tobacco net revenue growth, helped by pricing and share gains in the United States and Germany. The other side of the coin is taxation: excise duties rise regularly, and further increases are planned in Germany, one of the group's key markets.

The race for next-generation products

Growth in the industry now comes from vapour, heated tobacco and modern oral nicotine pouches. These categories are led by larger groups with bigger budgets, so smaller players have to choose their battles. Imperial Brands focuses on a limited number of markets and buys brands to move faster, such as Black Buffalo in the United States and Helwit in Sweden, both in modern oral nicotine.

What this means for investors

For an investor, tobacco is mainly a source of cash returns rather than growth. The key question for the sector is whether next-generation products can grow fast enough to replace the profit lost on cigarettes. For Imperial Brands, the case rests first on free cash flow and buybacks, with next-generation products as a possible upside.

Imperial Brands PLC IMB LN

A cash-rich tobacco group building its next-generation portfolio step by step

Market capitalisation	Free cash flow, FY2026 guidance	Share buyback, FY2027	Net debt / EBITDA, FY2025
GBP 21.6bn	**> GBP 2.2bn**	**GBP 1.5bn**	**1.9x**

1. What the company does

Imperial Brands is a UK-listed tobacco group. Most of its profit comes from combustible tobacco in five priority markets, including the United States and Germany. Its next-generation products cover vapour (blu), heated tobacco (Pulze 3.0) and modern oral nicotine (Zone, Skruf, Helwit).

2. Why it could do well

Pricing power remains strong: tobacco net revenue should grow for a sixth year in a row. For FY2026, management guides for adjusted operating profit growth of 3 to 5% and high-single-digit growth in adjusted earnings per share, helped by buybacks. Next-generation products are expected to grow at a double-digit rate, with share gains in all three categories.

3. What sets it apart

The group openly puts value before volume and accepts losing some market share where volumes are not profitable. Its acquisitions are small and targeted: Black Buffalo in May 2026, for an initial USD 150m, and Yoik Group, owner of Helwit, in September 2026. This leaves most of the cash available for shareholders.

4. Is the share cheap?

Free cash flow of more than GBP 2.2bn represents about 10% of the market value of GBP 21.6bn. The GBP 1.5bn buyback planned for FY2027 alone equals about 7% of the market value, after GBP 1.45bn completed in FY2026. Leverage is moderate at 1.9 times EBITDA. The market prices a business in slow decline; the high cash yield is the compensation.

5. Main risks

Higher excise duties in Germany could weigh on volumes and pricing. Next-generation products lack scale against larger competitors, and the division grew only 7.5% in the first half of FY2026, with a decline in the United States. A faster fall in cigarette volumes would test the value-over-volume strategy.

6. What to watch next

The FY2026 results on 17 November 2026: whether next-generation products reached double-digit growth and free cash flow exceeded GBP 2.2bn. Then the pace of the FY2027 buyback, the German excise changes and the trend in the US next-generation business.

Conclusion

Imperial Brands could suit an investor looking for income and buybacks from a defensive sector. The share offers a high cash yield but limited growth, as the next-generation business is not yet large enough to change the picture. The FY2026 results will show whether the five-year plan is on track.

Sources

- Syz Research, Bloomberg, Imperial Brands.

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